

ESG Risk Report



Our Commitment



MSCI ESG Rating Skala

Letter Rating	ESG Score
AAA	8.6-10
AA	7.1-8.6
A	5.7-7.1
BBB	4.3-5.7
BB	2.9-4.3
B	1.4-2.9
CCC	0-1.4

What is our Benchmark, and how it is calculated?

Benchmark description

4

7.30

87%

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I. ESG Ratings/Scores



I. ESG Ratings/ Scores

Top Level

ESG Rating

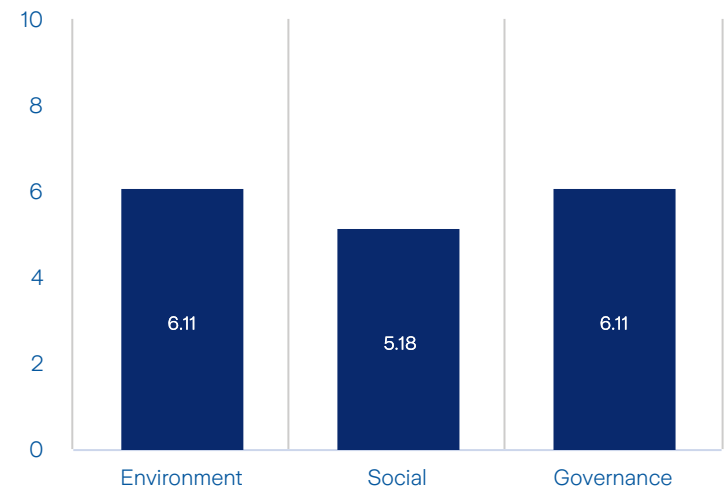
32.30% (AA)

PORTFOLIO

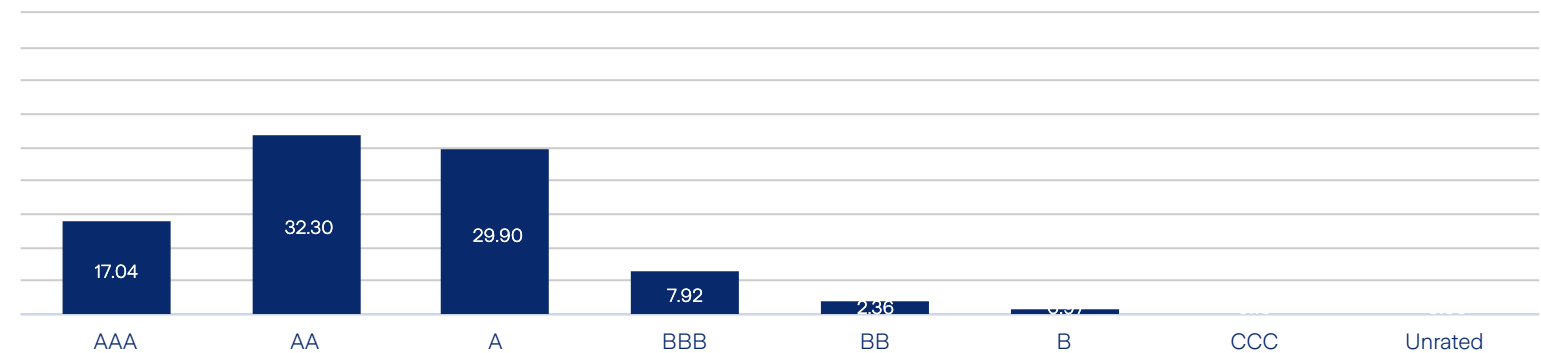
(AA)

BENCHMARK

ESG Pillar Rating



ESG Rating Distribution



7.30

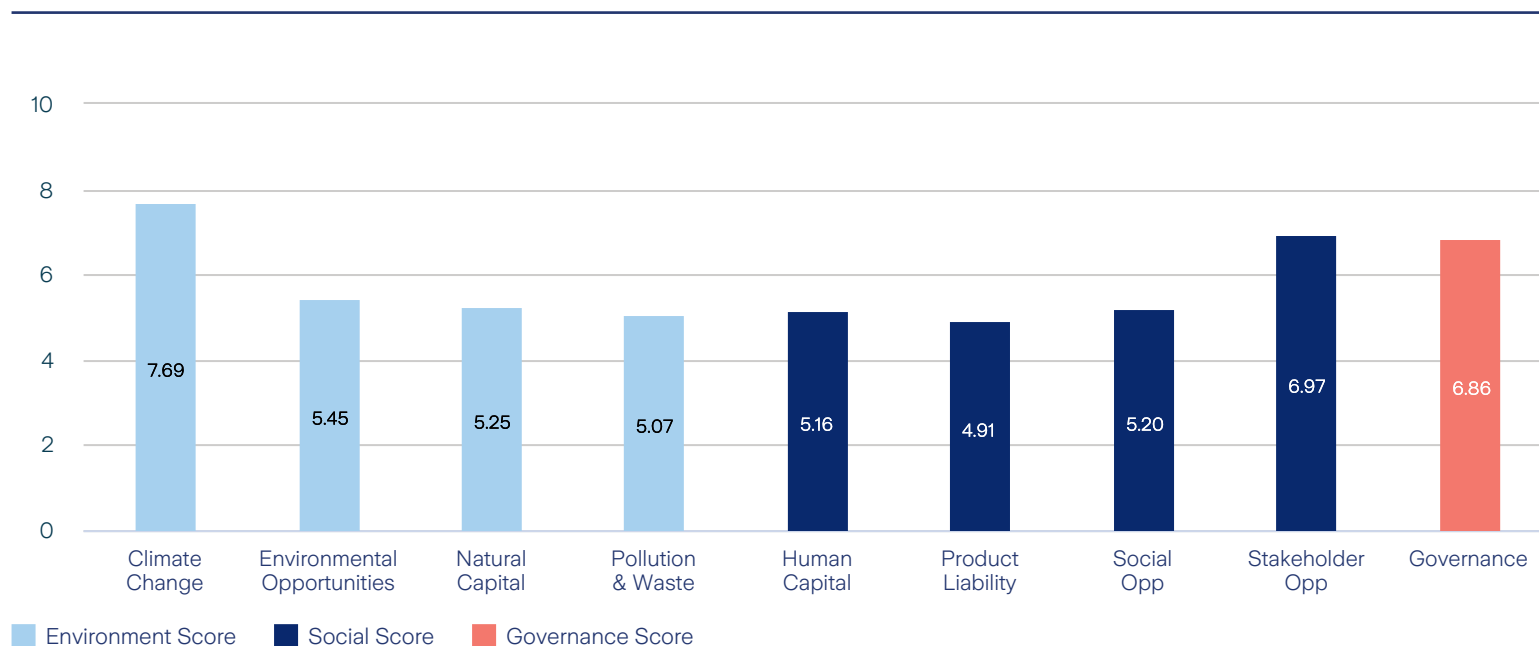
I. ESG Ratings/ Scores

Pillars & Themes - Corporate
Positions

Theme Scores and Weights	Score	Weight ¹
Environment	6.11	19.94%
Climate Change	7.69	6.72%
Environmental Opportunities	5.45	3.81%
Natural Capital	5.25	3.89%
Pollution & Waste	5.07	4.45%
Social	5.18	42.29%
Human Capital	5.16	17.93%
Product Liability	4.91	17.40%
Social Opportunities	5.20	4.40%
Stakeholder Opposition	6.97	1.49%
Governance	6.11	37.76%

ESG Rating

8

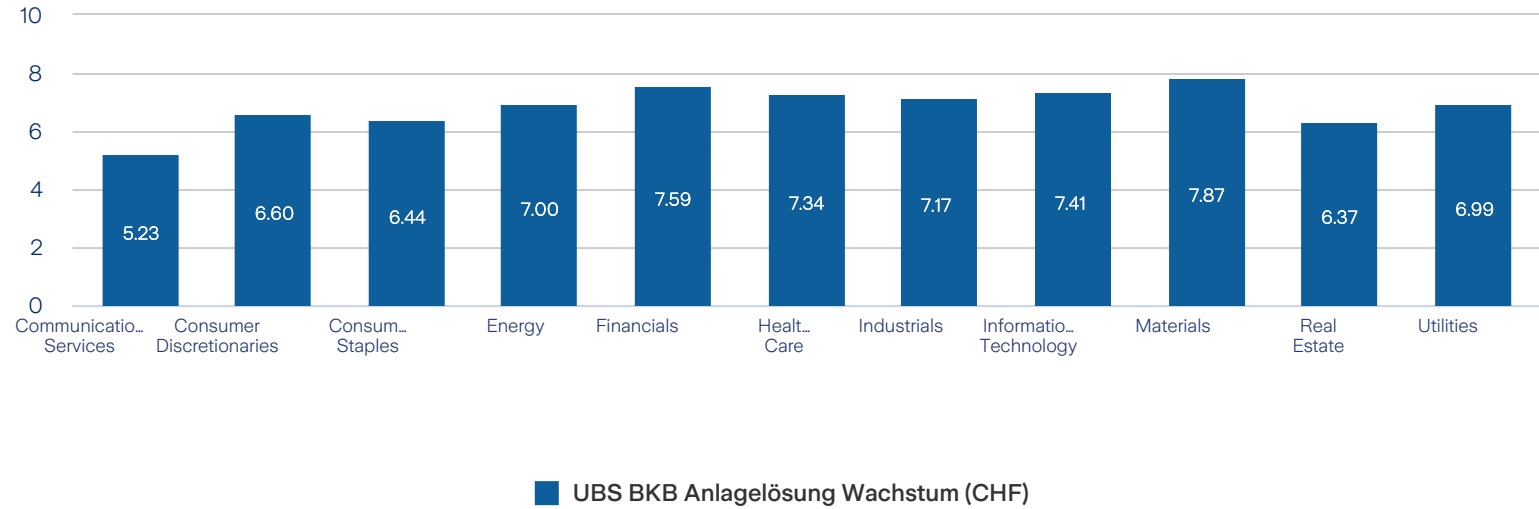


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I. ESG Ratings/ Scores

Sector Breakdown

GICS - Sectors



GICS Sector ESG Score



I. ESG Ratings/ Scores

Ratings Distribution Within
GICS Sectors

ESG Rating Distribution within Sectors (GICS)								
Corporate Sectors	AAA	AA	A	BBB	BB	B	CCC	Not Rated
Communication Services	0.05%	0.86%	0.29%	1.04%	0.42%	0.48%	0.00%	0.04%
Consumer Discretionaries	0.31%	2.74%	1.19%	1.26%	0.42%	0.18%	0.04%	0.10%
Consumer Staples	0.34%	0.84%	8.75%	0.18%	0.08%	0.03%	0.00%	0.17%
Energy	0.13%	0.63%	0.57%	0.18%	0.08%	0.01%	0.00%	0.00%
Financials	3.68%	7.84%	3.64%	0.74%	0.52%	0.03%	0.01%	0.40%
Health Care	3.66%	6.90%	5.96%	0.60%	0.04%	0.02%	0.02%	0.24%
Industrials	3.73%	2.37%	1.71%	1.03%	0.16%	0.03%	0.01%	1.05%
Information technologies	3.02%	3.34%	1.72%	1.51%	0.12%	0.08%	0.00%	0.47%
Materials	1.31%	3.15%	0.42%	0.19%	0.16%	0.08%	0.01%	0.02%
Real Estate	0.40%	0.58%	0.37%	0.12%	0.07%	0.01%	0.00%	0.22%
Utilities	0.14%	0.28%	0.22%	0.12%	0.03%	0.00%	0.01%	
Sovereigns	0.00%	1.68%	1.88%	0.22%	0.11%			
Sovereigns								

I. ESG Ratings/ Scores

Holdings Breakdown



Largest ² 5 Holdings in the Portfolio			
Issuer	Weight	Sector name (GICS)	ESG Rating
Zurich Insurance Group AG		Financials	AAA
Zuger Kantonalbank		Financials	BBB
Zuerich Versicherungs-Gesellschaft AG		Financials	AAA
Zuercher Kantonalbank		Others	AA
Ypsomed Holding AG		HealthCare	None

Best ¹ 5 Holdings in the Portfolio			
Issuer	Weight	Sector	ESG Rating
Zurich Insurance Group AG		Financials	
Zuger Kantonalbank		Financials	
Zuerich Versicherungs-Gesellschaft AG		Financials	
Zuercher Kantonalbank		Others	
Ypsomed Holding AG		HealthCare	

Worst ¹ 5 Holdings in the Portfolio			
Issuer	Weight	Sector	ESG Rating
ABB Ltd		Industrials	
ABBOTT LABORATORIES		HealthCare	
ABBVIE INC.		HealthCare	
Accelleron Industries AG		Others	
ACCENTURE PUBLIC LIMITED COMPANY		Information Technology	

II. ESG Controversies



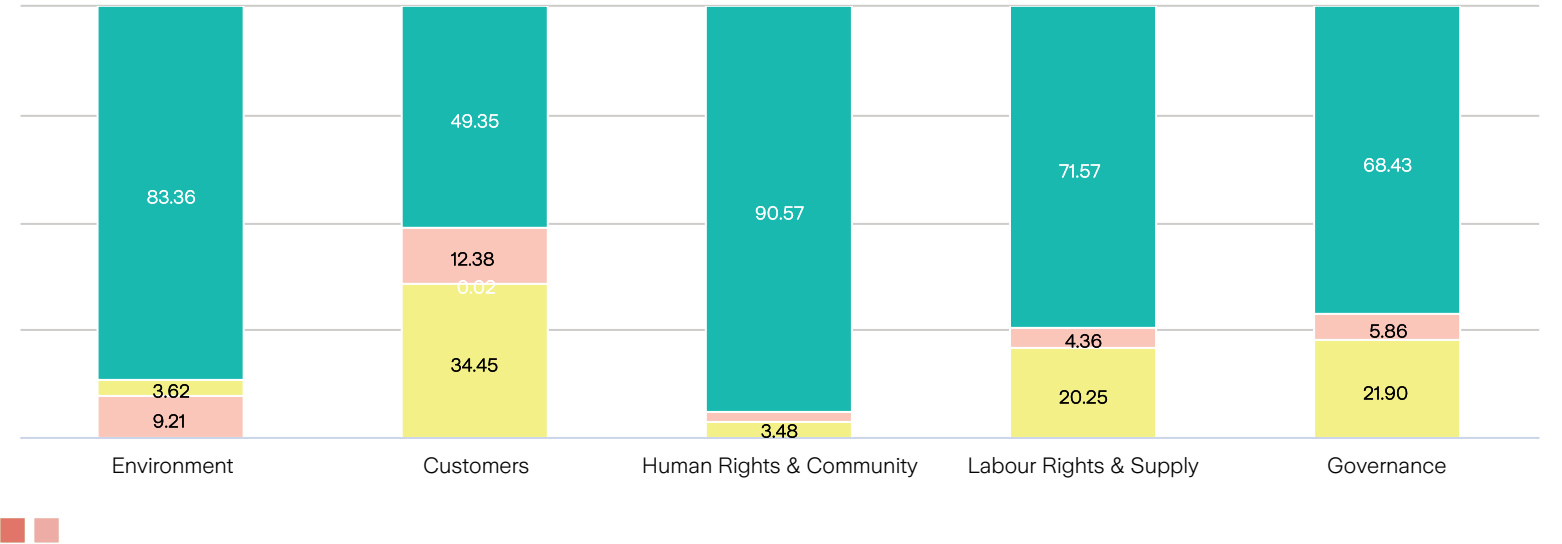
II. ESG Controversies

Exposure

Portfolio Exposure to Controversies

ESG Controversies Coverage	
	Portfolio WeightBenchmark Weight
Percentage of portfolio covered	90.20%

Controversy Distribution



II. ESG

Controversies

Company Breakdown

Portfolio Positions with the Most Controversy Exposure			
Name	Portfolio Weight	Sector name (GICS)	Overall
		Financials	
		Financials	
		Financials	
		Others	
		Industrials	
		Information Technology	
		Information Technology	
		Consumer Discretionary	

7 to 10 = Good 4 to 6 = Mediocre 1 to 3 = Bad 0 = Not Rated

II. ESG Controversies

15

UNGC Exposure



0.06%



0.06%

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III. Business Activity



III. Business Activity

Overview



■ UBS BKB Anlagelösung Wachstum (CHF)

Ranking	Holding Name	Weight	Sector(GICS)	Business Involvement
1				
2				
3				
4				
5				
6				
7				
8				
9				
10				

Business Involvement Exposure ¹

IV. Glossary

Active ownership

The practice of actively engaging with companies as a shareholder to influence their behavior and drive positive change in areas such as corporate governance, sustainability, and social responsibility. This may involve, for example, proxy voting, engagement.

Business involvement exposure

The level of a company's involvement or exposure to controversial or high-risk activities, such as weapons manufacturing, tobacco production, or human rights violations.

Carbon intensity

Amount of carbon dioxide (CO₂) emissions produced per unit of economic activity or output. It measures the greenhouse gas emissions intensity of a company, sector, or investment portfolio.

Climate change

Change in climate patterns and extreme weather conditions attributed to the emission of carbon dioxide into the atmosphere, mainly from the use of fossil fuels.

Controversies

In the context of ESG, a controversy is a breach of ESG standards established by international bodies such as UN Global Compact on the key pillars of Environment; Human Rights & Community; Labor Rights & Supply Chain; Customers and Governance.

Engagement

The process of communicating with representatives of a company as a shareholder with the aim of improving their behavior and policies. Engagement can be with representatives of the company's board or managers. Engagement may include defined ESG topics or targets to discuss. Also known as Stewardship.

Environmental factors

The E in ESG includes assessing factors that have an impact on the environment, such as addressing climate change impact and solutions, energy efficiency, waste management, pollution, and the broader impacts that a company and its products have upon the planet.

Environmental risks

Potential threats and negative impacts on the environment that can result from business activities, including pollution, deforestation, climate change, and resource depletion.

ESG integration

The process of including ESG factors in the fundamental financial analysis of companies and investments.

ESG fund ratings

Within the context of this report, the MSCI ESG fund rating is designed to measure the ESG risks and opportunities of a fund's underlying holdings, making it possible to rank or screen mutual funds and ETFs on a AAA to CCC ratings scale. This rating aims to provide fund level transparency and measures the ESG characteristics of the total portfolio. It is calculated as a direct mapping of MSCI ESG quality scores to letter rating categories. ESG leaders are companies with an ESG rating of AAA or AA (best in class), and ESG laggards are companies with an ESG rating of B or CCC.

ESG principles

Environmental, Social, and Governance principles are a set of criteria used to evaluate a company's performance in terms of its impact on the environment, society, and its governance practices.

ESG risks

Risks that arise from environmental, social, and governance factors, which can have a material impact on a company's financial performance and reputation.

ESG score

A quantitative or qualitative measure that assesses a company's performance in environmental, social, and governance areas, often used by investors and rating agencies to evaluate sustainability and responsible business practices. In the focal report, ESG scores are on a 0-10 scale, where 0 is very poor and 10 is very good.

Exclusionary focus or screening

Also known as negative screening. The process of excluding companies engaged in specific activities that are considered to be damaging, such as alcohol, tobacco, gambling, pornography and child labor.

Fossil fuels

Naturally produced energy sources, such as coal, oil and gas. It is scientifically proven that gases released from burning fossil fuels (such as carbon dioxide) are a leading cause of climate change.

GICS sectors

Global Industry Classification Standard sectors, a widely used classification system that categorizes companies into various sectors based on their primary business activities.

Governance

The G in ESG. Also known as corporate governance. Refers to the rights and responsibilities of stakeholders and how a company is run. Includes issues such as executive pay, corruption and board diversity.

Green Bonds

Bonds issued to fund environmentally friendly projects. These projects can include renewable energy infrastructure, energy efficiency improvements, and sustainable agriculture practices, among others. Proceeds from green bond offerings are specifically earmarked for these projects and are subject to independent verification to ensure that they meet certain environmental criteria.

Impact investing

Investments made with the intention of generating positive, measurable social and environmental impacts, where impact has priority over financial performance.

Letter rating

A rating system often used to assess the overall sustainability or ESG performance of a company, usually represented by letters (e.g., A, B, C) to indicate different levels of performance. In the focal report, a preset score-to-letter-rating matrix is utilized to convert the numerical score into a corresponding letter rating, ranging from AAA (highest) to CCC (lowest).

Negative screening

Also known as exclusionary focus or screening. The process of excluding companies engaged in specific activities that are considered to be damaging, such as alcohol, tobacco, gambling, adult entertainment and child labor.

Pillar rating

A rating system that evaluates a company's performance in specific ESG pillars, such as environmental, social, and governance factors, providing a more detailed assessment of its sustainability practices.

Theme score

A score that evaluates a company's performance in specific sustainability or ESG themes, such as climate change, human rights, or diversity and inclusion.

Transformational change

A significant and fundamental shift in an organization's strategy, operations, or culture to align with sustainability and ESG principles, often aiming for long-term positive impact and systemic change.

UNGC

The United Nations Global Compact is a voluntary initiative that encourages businesses to adopt and implement sustainable and socially responsible policies and practices, based on ten principles related to human rights, labor, environment, and anti-corruption.

Disclaimer

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